On his return, Deshmukh reported on the proceedings at Savannah and the discussions he had greatly assisted the Bretton Woods Committee of the Legislature. In its second report, the Committee reiterated that the final decision whether to remain a member of the Bretton Woods institutions would be determined by the outcome and timing of the sterling balances negotiations. It recommended that the government try to delay any payment of subscription till the last moment and should it become unavoidable, government should take a decision only after consulting with the Committee. During the debates, rich tributes were paid to Deshmukh for his work in Savannah and in his concluding speech, the Finance Member, Sir Archibald Rowlands, observed that he had from independent sources evidence of the high admiration which Deshmukh's dignity and ability had evoked in Savannah.

Deshmukh himself notes with pardonable pride that the performance of the delegation was praised with unwonted warmth but that the matter of the sterling balances bedeviled any final decision. 'I met the members of the Bretton Woods Committee and sought to remove misunderstandings and apprehensions regarding the financial involvements resulting from our membership as also to inform them about the widespread benefits bound to flow from them if we then co-operated in the establishment of such bodies. I was gratified to see that subsequently, in October, the Legislature decided that India should join the Fund and the Bank.'[46]

In its third report, the Bretton Woods Committee had recommended that government pay $7.96 million which had to be paid before August 24, 1946, leaving it to the Legislature to decide whether to pay the remaining 8 percent by November 25, 1946. Manu Subedar submitted a Minority Report urging that India withdraw from the membership of the bank at that stage as according to him India would be unable to shoulder further credit obligations until her own position regarding sterling balances was made clear. Ultimately, the Legislature passed not only the remaining 8 percent of the subscription which was due, but also passed a motion approving India's continued membership of the Fund and the Bank.

After the Bretton Woods Agreement was signed, it became necessary to select the right persons to represent India on the Board of Executive Directors. Deshmukh, as we have noted, was Governor of the Fund and the Bank. N. Sundaresan, Joint Secretary in the Finance Department was